Formula blurt sheet

Unit 3.1 What is business?

- **Revenue:** Selling price per unit × units sold
- **Total variable costs:** Variable cost per unit × units sold
- **Total costs:** Fixed costs + variable costs
- **Profit:** Total revenue − total costs; or total contribution − fixed costs
- **Market capitalisation:** Number of issued shares × current share price

Unit 3.2 Managers, leadership and decision making

- **Expected value:** Sum of (probability × pay-off) for each outcome
- **Net gain:** Expected value − initial cost of the decision

Unit 3.3 Marketing management

- **Market growth (%):** Change in market size ÷ original market size × 100
- **Sales growth (%):** Change in sales ÷ original sales × 100
- **Market share (%):** Sales of one product, brand or business ÷ total sales of the market × 100
- **Market size:** Total sales of all businesses in the market
- **Price and income elasticity:** Interpret only − you do not need to calculate elasticity

Unit 3.4 Operational management

- **Added value:** Sales revenue − costs of bought-in goods and services
- **Labour productivity:** Output over a time period ÷ number of employees
- **Unit cost (average cost):** Total costs ÷ number of units of output
- **Capacity utilisation (%):** Actual output ÷ maximum possible output × 100

Unit 3.5 Financial management

- **Return on investment (%):** Profit from investment ÷ cost of investment × 100
- **Gross profit:** Revenue − cost of sales
- **Operating profit:** Gross profit − operating expenses
- **Profit for the year:** Operating profit + profit from other activities − net finance costs − tax
- **Gross profit margin (%):** Gross profit ÷ revenue × 100
- **Operating profit margin (%):** Operating profit ÷ revenue × 100
- **Profit for the year margin (%):** Profit for the year ÷ revenue × 100
- **Variance:** Budgeted figure − actual figure
- **Net cash flow and closing balance:** Net cash flow = cash inflows − cash outflows; Closing balance = opening balance + net cash flow
- **Contribution per unit:** Selling price − variable cost per unit
- **Total contribution:** Contribution per unit × units sold; or total revenue − total variable costs
- **Break-even output:** Fixed costs ÷ contribution per unit
- **Margin of safety:** Actual output − break-even output

Unit 3.6 Human resource management

- **Labour turnover (%):** Number of staff leaving ÷ number of staff employed × 100
- **Labour productivity:** Output over a time period ÷ number of employees
- **Employee costs as % of turnover:** Employee costs ÷ turnover × 100
- **Labour cost per unit:** Labour costs ÷ units of output

Unit 3.7 Analysing the strategic position of a business

- **Return on capital employed (%):** Operating profit ÷ (total equity + non-current liabilities) × 100
- **Current ratio:** Current assets ÷ current liabilities
- **Gearing (%):** Non-current liabilities ÷ (total equity + non-current liabilities) × 100
- **Payables days:** Payables ÷ cost of sales × 365
- **Receivables days:** Receivables ÷ revenue × 365
- **Inventory turnover:** Cost of sales ÷ average inventories held
- **Payback:** Years until cumulative net cash flow covers the cost. Part year: amount still needed ÷ next year's net cash flow × 12
- **Average rate of return (%):** Average annual return ÷ initial cost of project × 100; Average annual return = (total net cash flows − initial cost) ÷ years
- **Net present value:** Net cash flow × discount factor = present value; NPV = total present values − initial cost

Unit 3.10 Managing strategic change

- **Total float:** Latest finish time − duration − earliest start time